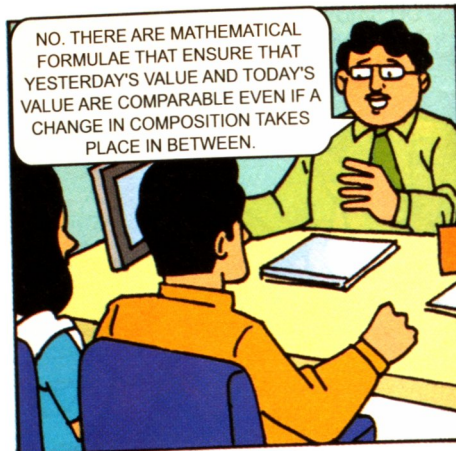
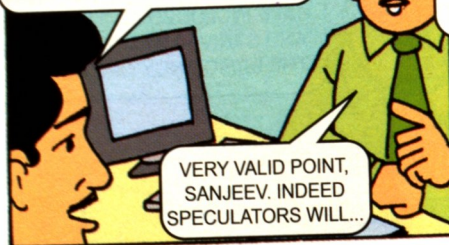


WHEN A STOCK GOES OUT AND A NEW STOCK COMES IN, DOESN'T THAT MAKE INDEX LEVELS NON-COMPARABLE?



NO. THERE ARE MATHEMATICAL FORMULAE THAT ENSURE THAT YESTERDAY'S VALUE AND TODAY'S VALUE ARE COMPARABLE EVEN IF A CHANGE IN COMPOSITION TAKES PLACE IN BETWEEN.

BUT TELL ME, SIR, WHAT ABOUT LOBBYING FOR A PARTICULAR STOCK? WON'T POWERFUL SPECULATORS TRY TO PUSH A STOCK THEY HAVE PURCHASED INTO AN INDEX AND VICE VERSA?



VERY VALID POINT, SANJEEV. INDEED SPECULATORS WILL...

WHICH IS WHY AT IISL THERE ARE NO SPECULATORS ON THE INTERNAL COMMITTEE.

FURTHER AND MORE IMPORTANTLY, THERE ARE OBJECTIVE, PUBLICLY DEFINED RULES WHICH DETERMINE WHEN STOCKS COME IN AND GO OUT OF THE INDEX. THERE ISN'T ROOM FOR PERSONAL JUDGEMENT HERE.



WOW! I AM EXHAUSTED. I DIDN'T KNOW THERE WAS SO MUCH TO THE INDEXES. EACH TIME I WATCH STOCK MARKET NEWS, I'LL LOOK AT INDEXES WITH A NEW RESPECT!



HA! HA! I WAS GLAD TO BE OF HELP!